leveled various allegations of financial malfeasance against Smith (never formally but in his correspondence with Taylor and others). There was also the angle of moral turpitude since Smith was having an affair with an RBI officer's wife. While the official history of the RBI [Vol. 1 (1935–1951)], merely states that there were temperamental differences between the Governor and the Finance Member, no mention is made of the controversy.

Attempts were made, notably by Rajul Mathur and Anand Chandavarkar, to fill this gap by using the India Office records and the Grigg Papers. Recently, the RBI put in the public domain confidential papers from the Governor's Secretariat, which contain correspondence between Taylor, Grigg, Smith, and others. To the best of my knowledge, these papers (the Sir James Taylor Papers), have not been used to discuss this controversy before, throwing further light as they do, on an episode which was unparalleled in the annals of central banking. The uninhibited and acrimonious exchanges on paper can only be described as extraordinary and are certainly unique in the bank's history. Central to the whole controversy was the fight by Smith to maintain the independence of the bank. Even as Managing Governor of the Imperial Bank he had complained about the pressure from government and its attempt to treat it as a government department. The ICS had suspicions that Smith was not part of the British Indian ethos, and what was worse, had a soft corner for Indian nationalist interests.

Purshotamdas's contributions as one of the longest serving Directors of the RBI are highlighted in a separate chapter. He was a friend, philosopher, and guide of the bank from the start, and his sagacious advice was heeded by all Governors starting with Sir Osborne Smith. One of the most important contributions made by Purshotamdas concerns his role in canvassing along with B.M. Birla, C.D Deshmukh's elevation for the top job at the RBI. Deshmukh became the first Indian Governor of the RBI after Taylor's demise, a promotion which he owed both to Purshotamdas's canvassing and the sense of fair play which the then Secretary of State L.S. Amery displayed. The bank's role during the war years is brought out in a separate Chapter. Deshmukh's role as Governor and his representing Indian interests along with A.D. Shroff and others at the Bretton Woods Conference in 1944, a Conference which ushered in a new international monetary order, is discussed in some detail. I have dwelt in some detail on